Individual Giving

Motivations and Empirical Evidence

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PMAP 8213/3213 Week 2

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2. Theory of Individual Giving
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Warm Glow Giving

- As discussed in Andreoni (1990) the theory of "Warm-Glow" represents a private benefit to nonprofit giving
- Put simply, nonprofit donors do not behave in a manner consistent with a purely altruistic person
- As much as we like to highlight the collective good that donations provide, the reality is, nonprofit donors operate in a manner like the rest of us: cold, individualistic, self-interest
  - Note: This is not a bad thing! This behavior is largely consistent with the field of economics, and can help us better understand donor behavior
- As such, as fundraisers, we can utilize the private interests and benefits to donors to help us fund our organization and, more importantly, contribute back to the public good

Psychological Benefits to Charitable Giving

- Randomized control trial research consistently finds that donating money or time provides positive psychological benefits
- Money donated provides comparable positive emotion to spending money on one's self; however, the positive feelings with donation are substantially more durable through repetition
- The positive emotion of giving stimulates two aspects of human need – individual happiness and a sense of higher belonging to community
- Giving can help reduce stress and anxiety
- Despite this, most individuals believe that paying themselves first will provide them the most happiness, causing a "paradox of giving."
- Dunn and Norton (2014) find: "having money in itself does not make people happier, but the way people spend it can impact their happiness"

Social Benefits to Generosity

- Giving is contagious – as one member of the group gives, it makes the other members of a group more likely to donate
- Giving can increase individual reputation and social relationships across the age distribution
- Giving can also result in provision of social support and reception of social support

Physical Benefits to Generosity

- Giving activates the pleasure and reward centers of the brain similar to receiving money
- Giving can help relieve cortisol
- Giving decreases inflammation and increases the body's antiviral capabilities
- Giving can help increase energy and reduce a pain response
- Giving is highly correlated with longevity

Overall Takeaway for Practitioners Fundraising

- Giving produces public good, but also has private benefits to the donor – these can be highlighted
- Organizations can structure their solicitations to make sure that donors hit the following metrics: **Variety, Altruism, Choice, Concrete, Social**
- There are limits to the joy from giving – the further away from giving feeling voluntary, the less donors will enjoy giving

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Demographic and Socioeconomic Factors Influencing Giving

- Education
  - Education is correlated with income and wealth
  - Education also tends to increase critical thinking and other regarding preferences in individuals
- Social Connections
  - The more connected an individual is, the more likely the come across an opportunity to give
- Family Characteristics
  - As individuals have larger families (a partner, children, etc) they tend to have more social connections and other regarding preferences

A TASTE for Charity

- Motivation to donate to charity can be described through the acronym TASTE for Charity
- Trust
- Altruism
- Tax
- Egoism
- Constraints

Eight Mechanisms Driving Giving

1. Awareness of Need
2. Solicitation
3. Altruism
4. Values
5. Tangible Costs and Benefits
6. Reputation
7. Psychological Rewards
8. Efficacy

Opportunities to Give

- The opportunity to donate features two main drivers
  1. Awareness of need
     - Donors tend to give to areas they are familiar with and can comprehend a need for
  2. Solicitation
     - Donors need to be asked to donate

Cost and Benefits to Donation

- Costs and benefits are driven by three factors
  1. Tangible costs and benefits
     - Costs need to be outweighed by benefits otherwise donors will not bother
  2. Reputation
  3. Psychological rewards

Values in Giving

- Values in giving are driven by two main factors
  1. Altruism
     - Just because donations are not purely altruistic does not mean that altruism plays no part
  2. Values
     - Individuals with greater other regarding preferences or in community systems valuing charitable donations are more likely to donate

Efficacy of Giving

- As discussed previously, donors want their donations to go to cause purposing
- As such, if they perceive that their donations will not be for charitable purposes, they will not trust an organization with their donation
- Efficacy has resulted in a couple of movements within the sector:
  - Effective altruism
  - Watchdogs and operational effectiveness
- It is important to balance the need for efficacy with long-run sustainability of the organization
  - This can be aided by emphasizing the need and aid that every donation provides the organization and, more importantly, the public good

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Trends in Charitable Giving (2017)

- Individual giving continues to be the main driver of charitable giving
- Donor retention is decreasing, which increases the cost of fundraising
- Most responding organizations report increases in charitable receipts
  - This tends to be the case when the stock market increases and economic growth occurs
- The sector increasingly relies on ultra-high-net-worth donors
- The number of volunteers decreased slightly down to 62.6 million from 62.8 million

Donor Retention and Solicitation of New Donors

- Donor retention decreased by a half percentage point to 45% of donors
- Nonprofits have a variety of methods to increase donor retention, including:
  - Emphasizing a clear purpose and impact of the gift
  - Asking donors to support repeated initiatives
  - Monitor donors to keep them engaged with the organization
  - Engage with donors regularly across platforms
- With the decrease in donor retention, nonprofits have increased solicitations and use a multitude of methods to get their donors

Methods of Solicitation

Table 1

Percentage of survey respondents reporting on fundraising methods used for individual giving in 2016 and changes in charitable receipts by fundraising method used in 2015–2016

Fundraising method	Percentage of respondents reporting use of fundraising method in 2016	Percentage of respondents reporting that charitable revenue stayed the same or increased using fundraising method, 2015 to 2016
Board giving	92 percent	85 percent
Major gifts	94 percent	79 percent
Direct response/mail	91 percent	75 percent
Special events	82 percent	74 percent
Email	81 percent	88 percent
Peer-to-peer	57 percent	90 percent
Telephone	27 percent	74 percent
SMS/text	10 percent	73 percent

Data: *Winter 2017 Nonprofit Fundraising Study*, May 2017, Nonprofit Research Collaborative, www.npresearch.org

Online Revolution in Donations

- Donations are increasingly made online, true both in 2016 and now
- Email increasingly represents a main driver in fundraising solicitations
  - Email presents opportunities and challenges in fundraising
  - Email represents a far lower cost to reach donors than traditional mailing fundraisers
  - Response rates to email fundraising are low – it's hard to get donors to even open the emails
- Social media accounts increasingly play a higher role in reaching out to donors and engaging with the public

Ultra High Net-Worth Donors

- Economic inequality is driving more of the sector towards ultra high net-worth donors
  - Note: Economic inequality actually decreased in 2022 for the first time since 2007
- This presents challenges to nonprofit organizations smoothing fundraising expenditures and planning budgets
- As the sector continues to rely on ultra high net-worth donors, many of the struggles we discussed last week of economically challenged organizations becomes the reality for more organizations

Itemization Trends pre TCJA

Table 3

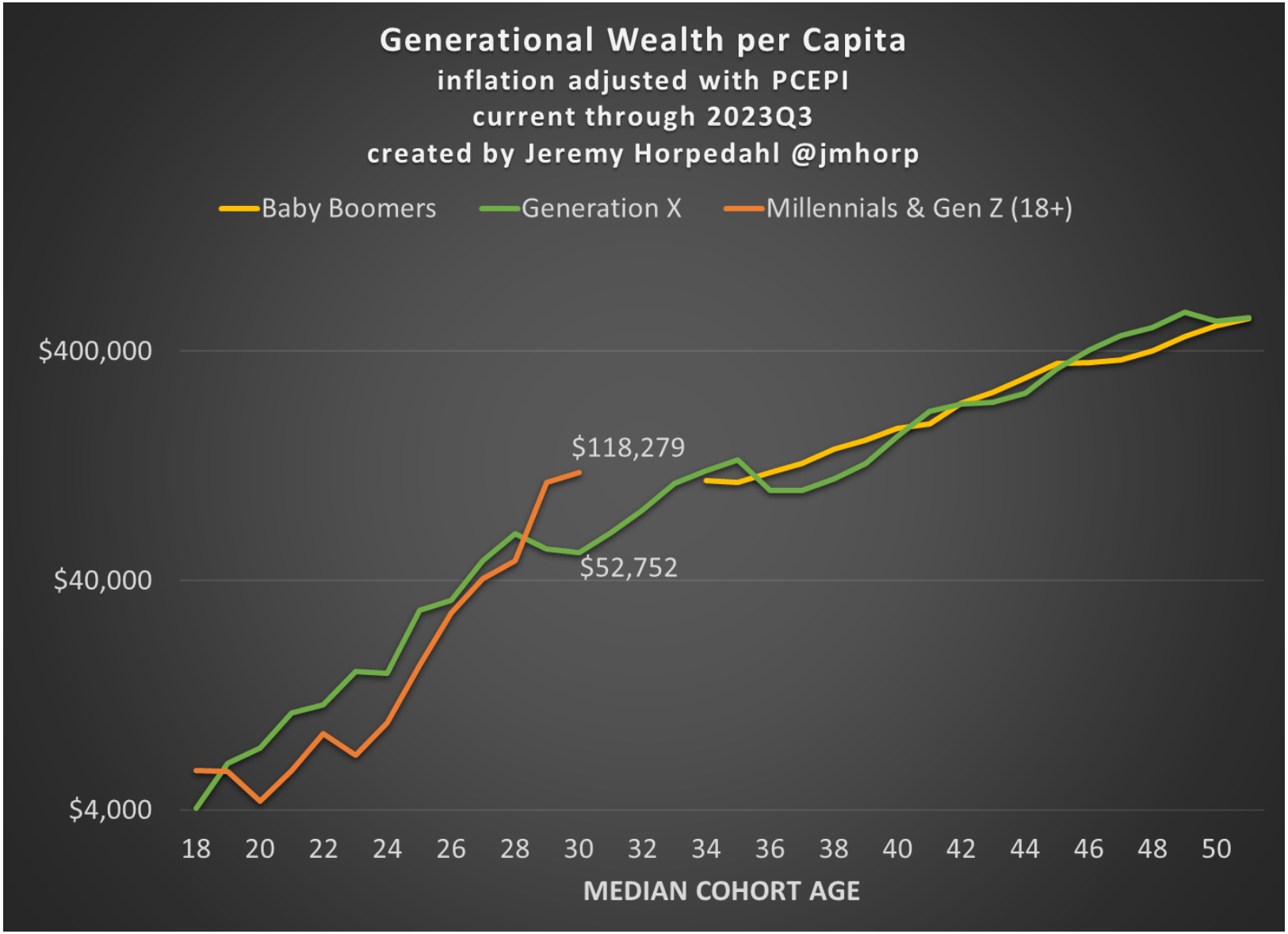
IRS statistics on charitable deductions claimed on individual tax returns, 2012–2014

IRS statistics on charitable deductions claimed on individual tax returns Tax years: 2012–2014 www.irs.gov/taxstats			
	2012	**2013**	**2014**
Percentage of individual tax returns with itemized deduction for charitable gifts (cash only)	75 percent	75 percent	75 percent
Average charitable deductions taken on individual tax returns (cash only)	$4,449	$4,441	$4,708

Changes to Standard Deductible post TCJA

- Multiple changes surrounding the US tax code and charitable deductions came in the 2017 Tax Cuts and Jobs Act
- The standard deductible nearly doubled for all tax filers
  - $6,500 to $12,000 for individuals
  - $13,000 to $24,000 for joint filers
  - $9,550 to $18,000 for
- The maximum charitable giving tax deduction increased from 50% of gross income to 60%
- Combined, these changes have resulted in an increase in ultra high net-worth donors being primary funders of the nonprofit sector

Generational Giving

- The demographic landscape is changing, as is the distribution of wealth and distribution of nonprofit donors
- Individuals part of the Baby Boomer and Silent Generations still hold the majority of wealth and represent a large portion of charitable giving.
- Millennials and Gen Z (currently examined as one cohort due to Gen Z's relatively young stage of their working lives) represent the future of nonprofit giving, and they appear to be continuing the trend of social causes / activist giving detailed in Giving USA (2017).
- In the later end of their prime working years, Generation X is in a position of growing importance, especially as their household finances continue to recover from the setbacks of the Great Recession of 2008
- While not as focused on social causes like younger cohorts, nor in a financial position for large donations such as older cohorts, Gen X represents a reliable and loyal group volunteering and donating to a select number of organizations wiling to foster a relationship

"The Kids are Alright"